

GLOBAL WEEK AHEAD

Sunday 16 August 2026

Everything coming up. Week of Mon 17 August. All times GMT+8.

The weekend companion to your Daily Need-to-Know. Verify live prices and confirm scheduled times before acting.

Setup Snapshot

Wall Street closed a **third straight up week** with the **S&P 500 tagging a fresh record** on Thursday before easing Friday. The move was fuelled by a **cooler July inflation set** — **CPI 3.4% YoY** (from 3.5%), **core 2.5%**; **PPI 4.7%** (from 5.5%) — plus **soft July retail sales**. That combination pushed the **first potential Fed hike into 2027** and knocked the odds of a September hike to roughly **40%**. Note the regime: with inflation still sticky above 3%, the market debate is **hike-vs-hold, not cut**. Futures point to a firm but cautious Asia open Monday, with **Japan Q2 GDP** and **China's July activity dump** the first tests.

Instrument	Fri 14 Aug close	Weekly move / Asia-open setup
S&P 500	7,786	-0.2% Fri , but +3rd straight weekly gain ; record high hit Thu
Nasdaq Comp.	26,729	-0.3% Fri ; software/quantum led the week
Dow	53,732	-0.2% Fri ; range-bound near highs
US 10Y yield	4.65%	Down on wk; soft CPI/PPI bull-flattened the curve
US 2Y yield	~4.08%	sub-4.10% — lowest since 30 Jun as Fed-hike bets faded
DXY (dollar)	99.9	~flat wk (-0.4% Fri); soft data capped USD
Gold	\$4,375	near records ; real-yield + weak-USD bid
Silver	\$64.9	+0.8% Fri ; holding the breakout
Brent / WTI	\$87.5 / \$81.3	WTI +4% wk ; supply risk premium building
Bitcoin	~\$63,400	soft ; trend signals bearish, spot stalemate
VIX	14.6	Low-vol regime; well below 20

Fed Chair Kevin Warsh. Levels are Friday cash-session closes; confirm live before acting.

TL;DR

A quiet-calendar week that is really a set-up week. The two definers: the **FOMC July minutes** (Thu ~2:00am) — parsed for how live a rate **hike** really is — and the **US retail earnings gauntlet** (Home Depot, Target, Lowe's, TJX, Walmart, Deere) for the real read on the consumer and tariff pass-through. Around them: **China's LPR** (Thu), **global flash PMIs** (Fri) and **August options expiry** (Fri). All of it is pre-positioning into **Jackson Hole (27–29 Aug)** — Warsh's first as Chair. Tape sits at **record highs** on a Hedgeye **Quad shift toward growth**, so the tell is whether soft-landing rotation holds or sticky inflation reasserts.

The Big Picture — What to Watch

1. The Quad shift: growth & small-caps take the baton

July was the **worst month for fundamental long/short in four years** as a **#Quad4** liquidation torched consensus. August has flipped: Hedgeye's monthly **Quad count is 3-1-2**, rotating toward **Quad 1/2 (growth up, inflation cooling)**. Leadership has

moved to **software (IGV +3.7% Fri)**, **quantum (QTUM)**, and — quietly — **small-caps (Russell 2000)** and **dividend payers**, while rate-sensitives (REITs, insurers) were sold.

Watch: Breadth confirmation — **equal-weight (RSP)** and **Russell 2000** leading is the soft-landing tell. If leadership narrows back to mega-cap only, the rotation is a head-fake.

2. FOMC July minutes — how live is a hike?

The Fed held on 29 Jul; minutes drop **Wed 2:00pm ET (Thu ~2:00am GMT+8)**. With headline CPI at **3.4%**, the market wants the **dissent count** and any language framing a **hike** as the base case for later in 2026. A hawkish read revives the front-end; a benign one greenlights the growth trade.

Watch: **2Y yield** (sub-4.10 and falling) and **DXY**. A 2Y bounce + USD pop would pressure the small-cap/gold trade.

3. The US retail earnings gauntlet

Home Depot (Tue), **Target**, **Lowe's**, **TJX** (Wed) and **Walmart**, **Deere**, **Ross** (Thu) headline the last big week of Q2 season. The read-through is the **health of the US consumer** and how much **tariff cost** is landing in margins vs. prices.

Watch: Guidance and gross-margin commentary over the headline EPS. **Walmart** is the macro tell; **Home Depot/Lowe's** gauge housing and the higher-for-longer rate pinch.

4. Jackson Hole pre-positioning

The symposium (27–29 Aug, theme “*Financial Innovation: Payments & Policy*”) lands **next** week, but vol gets built **this** week. It is **Kevin Warsh's first Jackson Hole as Chair** — the keynote is Fri 28 Aug — so every Fed speaker and the minutes get read for the set-up.

Watch: **Gold**, **front-end rates** and **USD** into month-end; positioning tends to de-risk ahead of the keynote.

5. Global flash PMIs — the growth pulse

Friday brings **August flash PMIs** across Japan, the Eurozone, the UK and the US. The US **composite hit an 8-month high of 54.5** in July; the question is whether that mid-year acceleration is **sustained** or fading.

Watch: Cyclical and **EUR/USD**. A firm US print + soft Europe reasserts US exceptionalism and the dollar.

6. China stimulus & activity watch

China's **July data** (industrial production, retail sales, FAI) is soft — early prints show **IP ~+5.7%** and **retail ~+3.7%**, both below consensus, with **CPI just +0.5%** and **PPI -3.5%** (deflation persisting). The **LPR decision (Thu)** is expected **unchanged at 3.0% / 3.5%**.

Watch: **Copper** (Hedgeye bullish), **AUD**, and **China proxies (HSI, FXI)** for any stimulus signal — deflation keeps the pressure on Beijing.

Economic Calendar — The Week Ahead

Times GMT+8 (approx.). US morning data prints in the GMT+8 evening; confirm on a live calendar.

Mon 17 Aug — Japan Q2 GDP (prelim, ~7:50am): first read on growth momentum, key for the **BOJ hike** debate. **China July activity (~10:00am):** IP, retail sales, FAI, house prices — soft prints already flagged; **confirm exact release timing (weekend/Monday)**.

Tue 18 Aug — UK jobs/unemployment (~2:00pm); Eurozone ZEW sentiment (~5:00pm); US housing starts & building permits (~8:30pm) — housing pulse under higher-for-longer rates.

Wed 19 Aug — UK July CPI (~2:00pm): the BoE's sticky-services problem. **US FOMC minutes (2:00pm ET → Thu ~2:00am GMT+8)** — the week's policy centrepiece.

Thu 20 Aug — China LPR (~9:15am, exp. unchanged); Australia July jobs (~9:30am); FOMC minutes land ~2:00am; US jobless claims + Philly Fed (~8:30pm); US Leading Index (~10:00pm).

Fri 21 Aug — Japan CPI (~7:30am) & flash PMIs (~8:30am); UK retail sales (~2:00pm); Eurozone flash PMIs (~4:00pm); UK flash PMIs (~4:30pm); US flash PMIs (~9:45pm); August equity options expiry (OpEx).

Central Banks & Policy Events

- **FOMC July minutes** — **Wed 19 Aug (Thu ~2:00am GMT+8)**. Fed on hold at the 29 Jul meeting. Market prices ~40% odds of a Sept hike and ~23bp of tightening by year-end; first hike now largely a 2027 story after soft data. Read for dissents and hike-conditionality.
- **PBOC Loan Prime Rate** — **Thu 20 Aug**. Consensus **unchanged: 1Y 3.0%, 5Y 3.5%**. Persistent deflation (CPI +0.5%, PPI -3.5%) keeps easing pressure alive, but the PBOC has favoured targeted tools over LPR cuts.
- **Jackson Hole** — **27-29 Aug (next week)**. Warsh's first symposium as Chair; keynote Fri 28 Aug. On the radar all week as the real event risk into month-end.
- **RBA** — held at 4.35% in August; **Australia jobs (Thu)** and RBA speakers (Hauser, Wed) shape Sept pricing.

Earnings on Deck

Last heavy week of Q2 season — the US consumer is on trial.

- **Mon: Fabrinet (FN)** — optical/AI supply-chain read.
- **Tue: Home Depot (HD)**, Toll Brothers (TOL), Baidu (BIDU). Housing demand + China search/AI.
- **Wed: Target (TGT)**, Lowe's (LOW), TJX (TJX), Analog Devices (ADI). Discretionary vs. off-price divergence; analog/industrial chip demand.
- **Thu: Walmart (WMT)**, Deere (DE), Alibaba (BABA), NetEase (NTES), Ross Stores (ROST). WMT is the macro consumer tell; DE gauges the ag/industrial cycle.
- **Fri: BJ's Wholesale (BJ)**.

Watch: Margins and guidance over headline beats — the market wants **tariff pass-through** and back-to-school demand color. **Nvidia (26 Aug)** is next week, not this one.

Catalysts & Events

- **FOMC minutes (Thu ~2:00am)** and **China LPR (Thu)** — the scheduled policy catalysts.
- **August equity options expiration** — **Fri 21 Aug**. Monthly (not quad-witch) OpEx; can pin/unpin index levels and unclamp gamma into the following week.
- **Jackson Hole pre-positioning** builds vol all week ahead of the 27-29 Aug symposium.
- **Trade headlines:** US-China truce backdrop holds; the semiconductor-tariff action on China remains **delayed to 2027**. Watch for any fresh tariff or export-control headlines around the retail prints.

Rates, Currencies & Commodities

Rates. 10Y **4.65%** (range 4.60-4.74); 2Y **sub-4.10%** and falling as hike bets bleed out — the curve is bull-flattening. **Drivers:** FOMC minutes, flash PMIs, and any hawkish Fed-speak into Jackson Hole.

Currencies. DXY pinned near **99.5-100** (Hedgeye bearish, 99.25-100.13). Soft US data caps the dollar, but a firm US PMI vs. soft Europe could snap it back. **USD/JPY** hinges on Japan GDP (Mon) and CPI (Fri); **AUD** on jobs + China.

Commodities. Gold **~\$4,375, near records** (range \$4,201-4,524) on soft real yields and a soft dollar; silver **~\$65** (neutral, \$58-68). **WTI ~\$81 (+4% wk)**, Brent **~\$87.5** — neutral range (\$74-86) with a building geopolitical risk premium. **Copper** bullish (\$6.46-6.76) — the China-demand tell.

Crypto. Bitcoin ~\$63,400 — **trend signals bearish**, spot in a stalemate with ETF flows thin. Not the leadership it was; a break of range would be a broader risk-appetite tell.

Hedgeye Risk Ranges & Regime

Per Hedgeye (Early Look, 14 Aug 2026), the monthly **Quad count is 3-1-2** — a **#Quad3** regime (growth slowing, inflation sticky) **shifting toward Quad 1/2** (growth firming, inflation cooling). The book is being rotated into **Growth/Tech (QTUM, IGV)** and out of **rate-sensitives (XLRE, IAK)**. **VIX is signalled bearish** (i.e., vol biased lower) and the **USD bearish** — a risk-on, buy-the-dip configuration.

Instrument	Immediate-term range	TREND
S&P 500 (SPX)	7,606 – 7,861	BULLISH
Nasdaq Comp. (COMPQ)	25,908 – 26,992	BULLISH
Russell 2000 (RUT)	2,987 – 3,075	BULLISH
Equal-Weight S&P (RSP)	219.0 – 225.0	BULLISH
Tech-Software (IGV)	99.0 – 110.0	BULLISH
Health Care (XLV)	164 – 172	BULLISH
UST 10Y Yield	4.60 – 4.74	BULLISH
High Yield (HYG)	79.43 – 79.98	BULLISH
Inv. Grade Corp (LQD)	105.7 – 106.9	BEARISH
VIX (volatility)	14.05 – 16.43	BEARISH
US Dollar (DXY)	99.25 – 100.13	BEARISH
Gold	\$4,201 – \$4,524	BULLISH
Silver	\$58 – \$68	NEUTRAL
Copper	\$6.46 – \$6.76	BULLISH
WTI Crude	\$74.36 – \$85.99	NEUTRAL
Nat Gas	\$2.55 – \$2.85	BEARISH

Where we sit / what would change it. The tape is **bullish TREND** across US equity beta (SPX, COMPQ, RUT, RSP), software and gold, with credit (HYG) calm — the **Quad-shift-to-growth** map. The regime **breaks** if the **2Y yield reclaims its TRADE line** (hawkish minutes / hot PMIs revive hike risk), the **USD breaks out above ~100.1**, or **VIX recaptures ~16.4** — that combination would flip the book back toward defense and stall the small-cap/gold trade.

Positioning & Themes

After July's **Quad4 washout** (worst L/S month in four years), consensus **shorts got squeezed** — South Korea (EWY) and semis/DRAM ripped, and Hedgeye went to **zero shorts** in real-time alerts on Monday. That leaves the pain trade **higher** near-term.

- **What's crowded/stretched:** mega-cap tech remains the consensus long; the **new** leadership (small-caps, dividends, software breadth) is earlier and less crowded.
- **Vol/credit:** **VIX ~14.6** (bearish/low-vol regime); **HYG bullish** (credit spreads calm), **LQD bearish** (duration the weak spot). No stress signal yet.
- **Tells to watch:** 2Y yield **TRADE break**, **DXY ~100**, **VIX ~16.4**, **IGV (software)**, and **RSP/Russell breadth**. OpEx Friday can distort the tape into month-end.

Geopolitics — What's Live

Russia-Ukraine. Trump-Putin diplomacy has **stalled**, with both sides escalating drone/missile strikes and sanctions back in focus — roughly a year on from the Alaska summit. Prediction markets put a **ceasefire by end-August near ~3%** (confirm live on Polymarket). The tail risk is energy: any supply hit is a **Brent** catalyst.

US-China. Trade truce holding; semiconductor tariffs on China **delayed to 2027**. Watch for fresh export-control or tariff headlines colliding with the retail prints and Alibaba/Baidu earnings.

Middle East. A simmering risk premium in oil; no scheduled catalyst, but headline-sensitive into a thin summer tape.

Asia Setup — Monday Open

Asia should open **constructive**: Wall Street sits at records, US inflation cooled, and Fed-hike bets are fading — a supportive backdrop for risk. But the first hour of the GMT+8 session carries **real data**: **Japan Q2 GDP (~7:50am)** steers USD/JPY and the BOJ story, then **China's soft July activity data (~10:00am)** can cap gains. **Intraday tells**: China proxies (HSI, A-shares, **copper**), **AUD** on the China read, **USD/JPY** on GDP, and whether the **KOSPI** short-squeeze extends. A firm hold above Friday's US levels keeps the growth-rotation intact into the FOMC minutes.

Beyond the Markets — Coming Up

- **US Open Fan Week (17–23 Aug), NYC**: Media Day + free Sounds of the Open concert Fri 21, Kids' Day Sat 22. Main draw begins 31 Aug.
- **Space**: China launch from Taiyuan (Mon 17), SpaceX Falcon 9 from Vandenberg (Wed 19) and Cape Canaveral (Thu 20).
- **Gaming**: Gamescom (Cologne) runs 26–30 Aug with Opening Night Live 25 Aug — next week, but hype builds now.
- **Global**: UNCCD COP17 on land/drought resilience, Ulaanbaatar, 17–28 Aug; UNESCO Day for Underwater Cultural Heritage, 21 Aug.

Sources

Hedgeye (Early Look, 14 Aug 2026, Risk Range Signals) · IG Week Ahead (17 Aug 2026) · Reuters/Bloomberg · CNBC · Yahoo Finance · Trading Economics · FXStreet · Federal Reserve (FOMC calendar) · Kansas City Fed (Jackson Hole) · company IR (HD, TGT, LOW, WMT, NVDA) · Polymarket (geopolitics odds).

Forward-looking; scheduled events and consensus can change. Verify live prices and confirm scheduled times before acting. Not investment advice.